

Rideshare and Delivery Use Coverage Guide

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Document ID: MMIC-RIDESHARE-2025

Audience: Underwriting and claims adjusters

Effective: June 1, 2025

This guide addresses coverage during rideshare and delivery-app use, an increasingly common gap area between personal and commercial auto coverage.

1. The Coverage Gap

A standard Personal Auto Policy's business-use exclusion (Standard Exclusions reference) is written broadly enough to reach ridesharing and delivery-app driving, since the vehicle is being used to generate income rather than for personal purposes during that activity. Without a specific endorsement, a loss occurring while the app is on and the driver is engaged in a paid trip or delivery may fall into a coverage gap between the personal policy's exclusion and the rideshare or delivery company's own commercial coverage, which itself is often limited or absent during certain phases of the app's use.

2. Rideshare/Delivery Use Periods

Coverage analysis in this area depends on which "period" of app use was active at the time of loss: **Period 0** (app off, no coverage gap — standard personal policy applies normally), **Period 1** (app on, waiting for a ride or delivery request, no passenger or delivery accepted yet), **Period 2** (a request has been accepted, en route to pick up), and **Period 3** (passenger or delivery item in the vehicle, trip in progress). The rideshare or delivery company's own commercial coverage, where it exists, is typically more limited during Period 1 than during Periods 2 and 3.

3. Rideshare Endorsement

A policyholder who regularly drives for a rideshare or delivery platform may purchase a rideshare endorsement, which fills the Period 1 gap described in Section 2 by providing coverage during that period, coordinating with (rather than

duplicating) whatever commercial coverage the platform itself provides during Periods 2 and 3.

4. No Rideshare Endorsement Purchased

Where the Declarations page shows no rideshare endorsement, a loss occurring during Period 1 is reviewed against the business-use exclusion, and coverage is likely denied under the personal policy for that period specifically — the policyholder's recourse in that scenario is the rideshare platform's own Period 1 coverage, if any, which is outside Meridian Mutual's policy entirely.

5. Losses During Periods 2 and 3

Even without a rideshare endorsement, a loss during Periods 2 or 3 is typically primarily the responsibility of the platform's own commercial coverage, since the higher level of commercial coverage during an active trip is designed to be primary; Meridian Mutual's personal policy is evaluated for any excess role only after the platform's coverage is confirmed and its limits are known, following the same excess-coordination logic used for non-owned vehicles (Non-Owned and Borrowed Vehicle Coverage Guide, Section 1).

6. Occasional, Non-Commercial Delivery Use

A one-time or very occasional use of the vehicle for a paid errand (distinguished from regular, ongoing platform-based delivery work) is evaluated on its specific facts against the business-use exclusion's intent — regularity and income-generating purpose are both relevant factors, and an isolated favor for pay is treated differently from an ongoing pattern of platform-based trips.

7. Underwriting Disclosure

An applicant or policyholder engaged in regular rideshare or delivery driving is expected to disclose this at underwriting so the appropriate endorsement can be offered; discovery of undisclosed regular platform use after a loss is reviewed against the material-misrepresentation provisions in the Underwriting Guidelines, independent of the Period-based coverage analysis in Sections 2 through 5.

8. Documentation Standard

A claim file involving potential rideshare or delivery use documents: whether a rideshare endorsement is present on the Declarations page (Section 3), the app-use period active at the time of loss (Section 2), and, where applicable, the status and

limits of the platform's own commercial coverage (Section 5) before any final coverage determination is reached.